

HDFC Bank Ltd (HDFCBANK)

ROE	17.1%
ROCE	7.67%
CFO Quality	Accrual Risk
Capital Allocation	Liquidating Assets

Strengths

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Sustainable dividend payout backed by positive free cash flow.

Risks

- Debt-to-equity ratio of 6.81 is elevated and warrants monitoring.
- Interest coverage ratio below 1.5x indicates risk in meeting debt obligations.
- Total debt exceeding 3 times operating cash flow limits financial flexibility.